

Competitive Intelligence

Planning and Implementation



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LPS

Porter's Four Corner Analysis



Porter's Four Corner Analysis

DRIVERS:

- * Financial goals
- * Corporate culture
- * Organizational structure
- * Leadership team backgrounds
- * External constraints
- * Business philosophy

CURRENT STRATEGY:

- * How the business creates value
- * Where the business is choosing to invest
- * Relationships and networks the business has developed

FOUR CORNERS

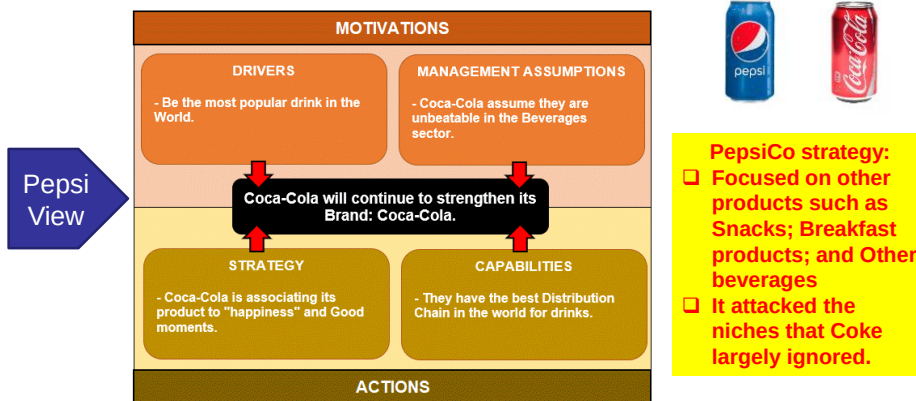
MANAGEMENT ASSUMPTIONS:

- * Marketing skills
- * Ability to service channels
- * Skills and training of work force
- * Patents and copyrights
- * Financial strength
- * Leadership qualities of CEO

CAPABILITIES:

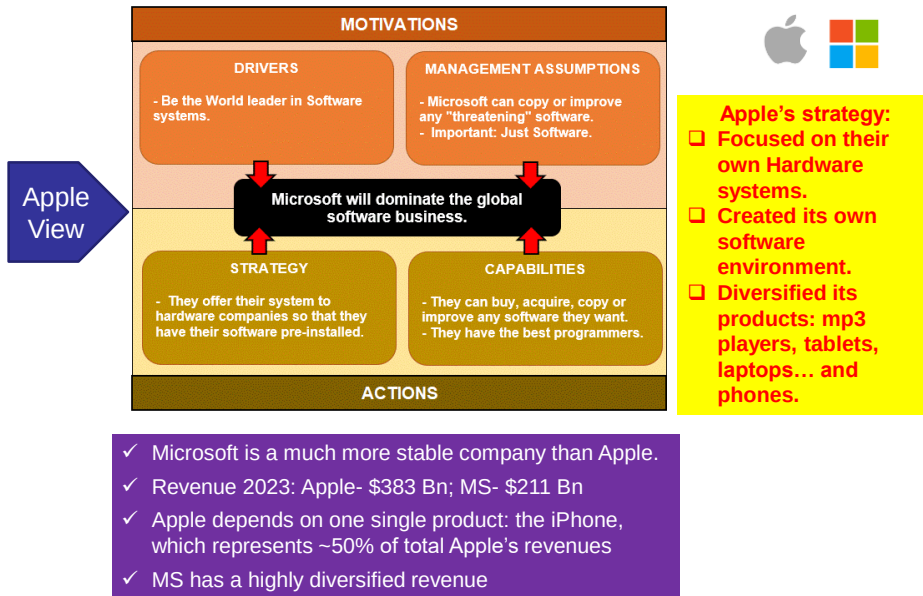
- * Company's perceptions of its strengths and weaknesses
- * Cultural traits
- * Organizational value
- * Perceived industry forces
- * Belief about competitor's goals

Porter's Four Corner Analysis: Pepsi Vs Coke



- ✓ Coca-Cola is much more popular than Pepsi. But, PepsiCo is bigger than Coca-Cola.
- ✓ Revenue 2023: PepsiCo- \$91.5 Bn; Coke- \$45.8 Bn
- ✓ Beverage market share 2022: Coke-46%; Pepsi-25% (USA)
- ✓ Market Cap 2024: PepsiCo- \$241 Bn; Coke- \$266 Bn

Porter's Four Corner Analysis: Apple Vs Microsoft



What is Competitive Intelligence?

"Competitive Intelligence is a systematic and ethical program for gathering, analyzing, and managing external information that can affect your company's plans, decisions, and operations."

Why Competitive Intelligence

- ❑ New competitors enter “the game.”
- ❑ Competitors invent new moves or move out of turn.
- ❑ The rules of the game change.
- ❑ Early Warning
 - Good competitive intelligence allows decision makers to prepare for changes in the market
 - Act instead of react

What Competitive Intelligence IS and IS NOT

- ❑ Competitive intelligence IS any information that indicates whether or not your company is currently or will remain **competitive**.
- ❑ Competitive intelligence IS NOT about competitors, but about keeping your company **competitive**.
- ❑ Competitive intelligence IS NOT the gathering and distribution of data. The value is in the *analysis*, or the use of data to create an *understanding* and *market vision* of your industry, your competitors, and your company.

- 👤 To protect a company and its management from “blind spots” – the bane of successful companies.
- 👤 To challenge and validate/invalidate company assumptions and strategies on a regular basis.

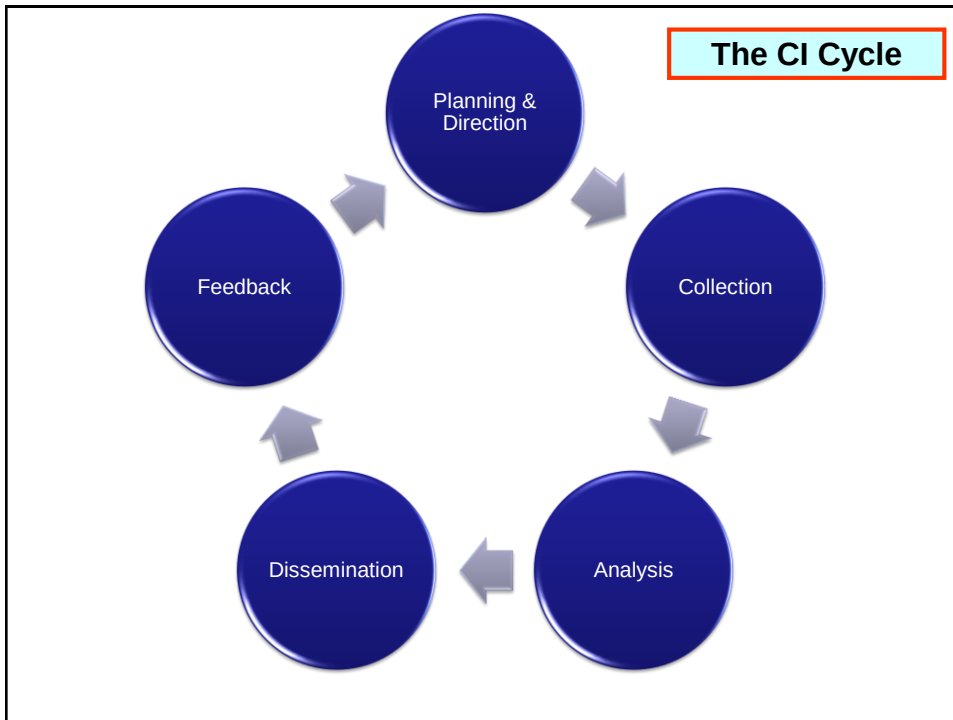
Ben Gilad, “*Business Blindspots*”

- 👤 Quality competitive intelligence is **actionable intelligence** - not information.
- 👤 It helps a manager to respond with the right market tactic or long-term decision.

Leonard M. Fuld, “*The New Competitor Intelligence*”

CI and Ethics

- **“Economic espionage represents a failure of CI”**
 - SCIP’s Code of Ethics states:
 - Professionals must accurately disclose their identity when soliciting information
 - Respect all requests for confidentiality
 - Good competitive intelligence uses publicly available sources:
 - Published information sources
 - Interviews
 - CI professionals can ethically discover information in a fashion similar to that of journalists and other researchers.



The CI Cycle
Step One - Planning & Direction

❑ **Working with management to determine information needs**

- Develop effective communication, interviewing and presentation skills
- Know the organizational structure, culture and environment
- Know your internal and external capabilities
- Conduct an information resource gap-analysis
- Articulate findings about intelligence needs into the cycle

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graph TD
    A((Planning & Direction)) --> B((Collection))
    B --> C((Analysis))
    C --> D((Dissemination))
    D --> E((Feedback))
    E --> A
  
```

The CI Cycle Step Two - Collection Activities

❑ Collecting information a legal and ethical manner.

- Sources used:
 - *Primary*
 - *Secondary*
 - *Internal*
 - *External*
- Must be able to ensure validity of sources
- Recognize patterns and anomalies in information
- Formal research skills are crucial



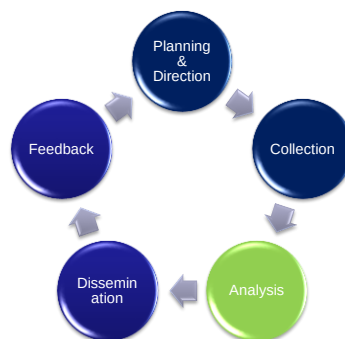
❑ Interpreting data and drawing meaningful conclusions for recommended actions

- Arguably the most important step in the cycle.
 - Raw data itself cannot usually contribute to key decision making and strategy

❑ Guidelines for analyzing data

- Use inductive and deductive reasoning
- Employ alternative and creative thinking
- Be familiar with analytical models and know when and why to use them.
 - Ex. Risk assessment; Opportunity analysis; Trend analysis
- Recognize gaps in information
- Know when to quit!

The CI Cycle Step Three - Analysis



The CI Cycle Step Four - Dissemination

❑ Presenting key discoveries to management

- Organize findings and convey them with assertiveness and diplomacy
- Accentuate the positive
 - Cost savings
 - Competitive advantage
- Modes of dissemination
 - Custom reports
 - Databases
 - Training seminars
 - Personal communications



The CI Cycle Step Five - Feedback

❑ Evaluating the response of management and decision makers is crucial to determining success of CI endeavor.

- Be sure to capture all feedback to incorporate in future projects
- Use this dialogue to determine future information needs.



Key Intelligence Topics (KITs)

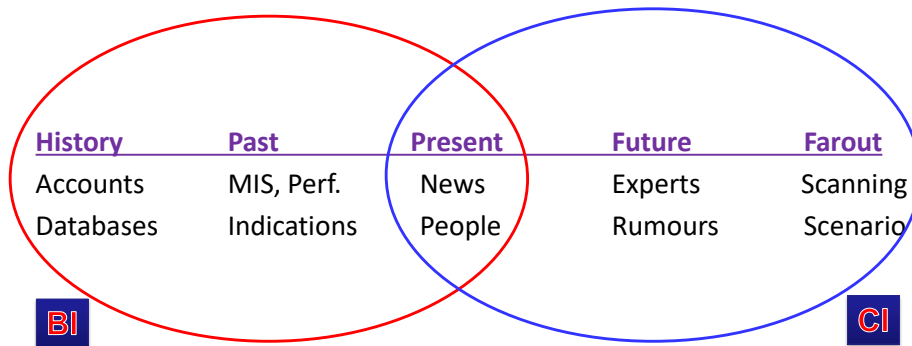
*An Expression of Management's Intelligence Needs
(Best defined by its intended business application)*

- ❑ Strategic and Operational decisions, where competitive factors and forces are major determinates in the outcome.
- ❑ Early Warning, of both threats and opportunities!
- ❑ Knowing the competition ... and, creating strategies to out-think and out-perform them.
- ❑ Understanding the actual competitive situation the company currently faces ... and, will most likely face in the future!

Key Intelligence Topics: Types

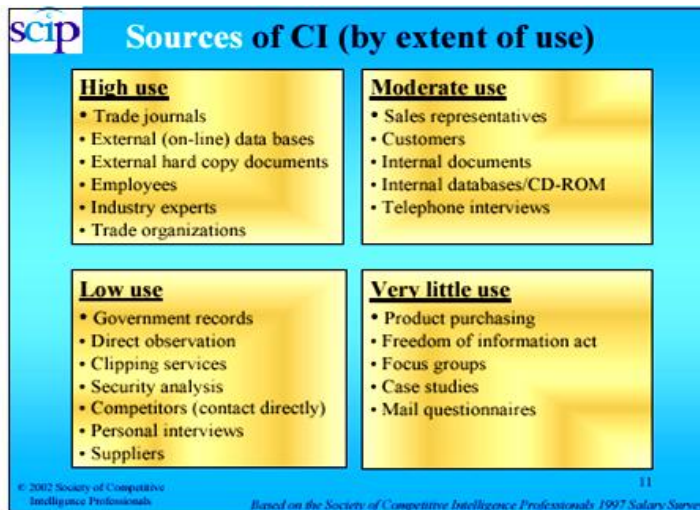
- ❑ Management Decisions and Actions
 - Formulation & implementation of strategic plans
 - Capital expenditures affecting competitive positions
 - Strategic alliances, acquisitions and divestiture
- ❑ Early Warning Topics
 - Opportunities that company recognizes first
 - Threats, including new/emerging competitors
 - Significant changes in industry, government, technology
- ❑ Key Players: Competitors, Customers, Others
 - Greater understanding of their capabilities & intentions
 - Insight and foresight regarding their actions
 - Monitoring their activities on an ongoing basis

Timeline of Information Search



BI: Mining Knowledge Past + Present
 CI: Telescopic – present to future (experts)

Competitive Intelligence Sources



Techniques for Humint

- ✓ Ask directly: works with experts (busy people) so able to reply in depth.
- ✓ Ask indirectly (exclusion): ask enough to exclude possibilities (not)
- ✓ Empathetic listening: do your homework, be genuinely interested in what they do.. works with customers
- ✓ Verification: ask if your understanding is correct?
- ✓ Horse trading: offer to trade info (eg. Complete survey to get report) works online best.
- ✓ Obligations: mutual favours (family/friends/socials etc.)
- ✓ Purchase: offer to pay for the cost of obtaining or researching.. works with consultants/experts
- ✓ Threats ?
- ✓ Networking, counter intelligence.



Competitive Intelligence Internal Customers

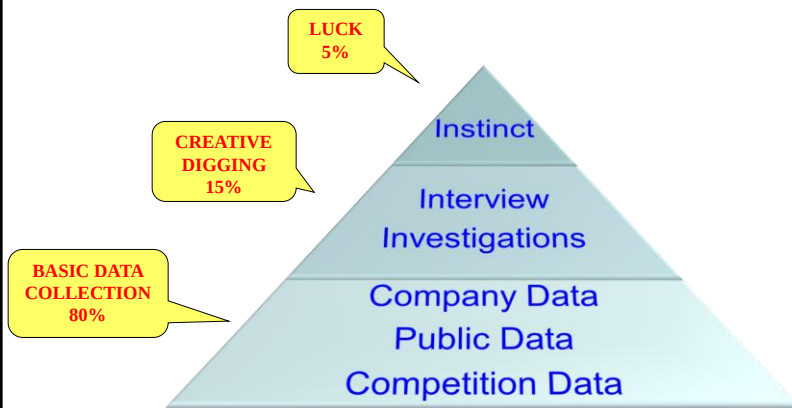
- ❑ CI is most utilized by:
 - Market Planning & Research
 - Research & Development
 - Business Development
 - Product Planning
 - Strategic Planning
 - Financial Planning
- ❑ The CI function can operate out of a wide variety of departments:
 - CI Department
 - Market Planning, Research, or Analysis
 - Strategic Planning
 - Information Center or Services
 - Business Development/Product Planning
 - Financial Planning

The Typical CI Request

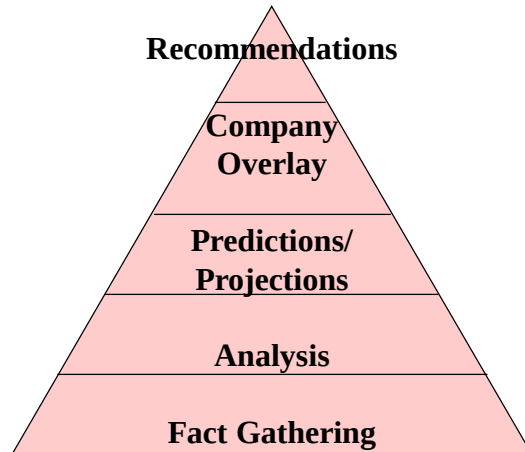
"Tell me about XYZ Company."

- ☐ Wrong Response: Okay. (And then proceed to collect and share every potentially relevant detail about the competitor.)
- ☐ Correct Response: What is the business decision or issue? (And then tailor your research accordingly.)

Competitive Intelligence Compilation



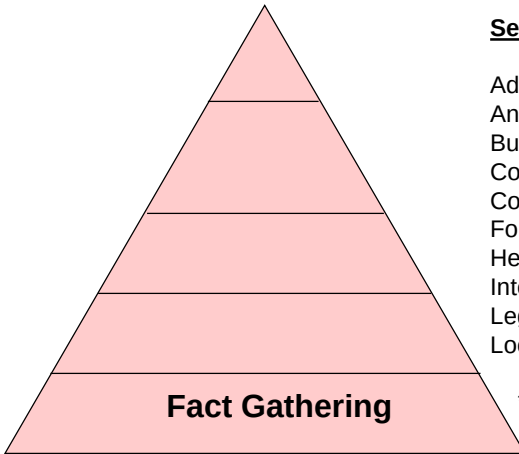
The Competitive Intelligence Process



The Pieces That May Fit

- ☐ Company history and background
- ☐ Management (key executives and board members)
- ☐ Organization structure
- ☐ Facilities/locations
- ☐ Financial performance and capabilities
- ☐ Vision/mission and strategies
- ☐ Alliances, acquisitions and divestitures
- ☐ Sales and marketing strategies and activities
- ☐ Customers/markets served (and market share)
- ☐ Products and product lines (including product pricing)
- ☐ Technology

The Competitive Intelligence Process

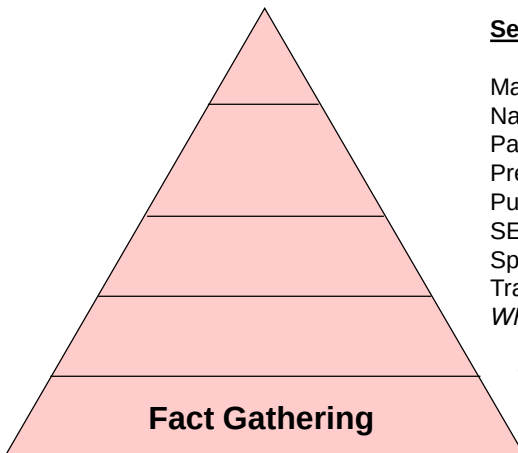


Secondary Sources

Advertisements
Annual reports*
Business credit reports*
Company profiles*
Corporate and executive affiliations*
Foreign periodicals*
Help-wanted advertisements*
Interview transcripts*
Legislative information*
Local and regional newspapers*

**Available online
(commercial services and/or Internet)*

The Competitive Intelligence Process



Secondary Sources (cont.)

Marketing literature*
National newspapers*
Patents and trademarks*
Press releases*
Public records*
SEC filings*
Speech transcripts
Trade publications*
Who's Who and other biographical data*

**Available online
(commercial services and/or Internet)*

A Word About Web Research

- ❑ Great place to start
 - Information about companies of any size
 - Tables, charts, graphs, etc.
 - Several sources of quality information for free/cheap
- ❑ With a number of shortcomings
 - Marketing tool for companies, offering subjective information
 - Small percentage of information on web is indexed
 - Difficult to search for common names, DBAs, subsidiaries, etc.
 - Questionable accuracy/reliability (anyone can be a web publisher)

Validate and supplement with additional sources.

Secondary Sources (past and present)

- | | |
|--|--|
| ❑ Advertisements | ❑ National newspapers |
| ❑ Annual reports | ❑ Patents and trademarks |
| ❑ Business credit reports | ❑ Press releases |
| ❑ Caselaw | ❑ SEC filings |
| ❑ Company profiles | ❑ Speech transcripts |
| ❑ Corporate and executive affiliations | ❑ Trade publications |
| ❑ Foreign periodicals | ❑ <i>Who's Who</i> and other biographical info |
| ❑ Local and regional newspapers | |
| ❑ Marketing literature | |

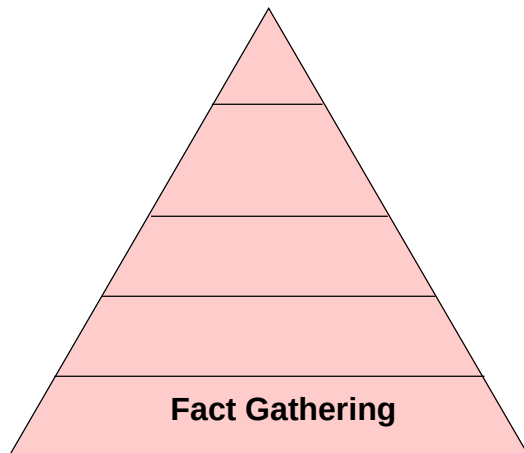
**Secondary
Sources
(Public Records /
Filings)**

- ☐ Bankruptcy filings
- ☐ Civil court dockets
- ☐ Judgments and liens
- ☐ Professional licenses
- ☐ Corporate filings
(incorporation records)
- ☐ Fictitious names
- ☐ Real property records
- ☐ Stock ownership
- ☐ Executive affiliations
- ☐ UCC filings
- ☐ Asset information (motor
vehicles, boats, airplanes)

**Secondary Sources
(Foreknowledge)**

- ☐ Help-wanted advertisements
- ☐ Legislative information
- ☐ Patents and trademarks
- ☐ SEC filings (USA)
- ☐ Speech and interview transcripts

**The Competitive
Intelligence Process**



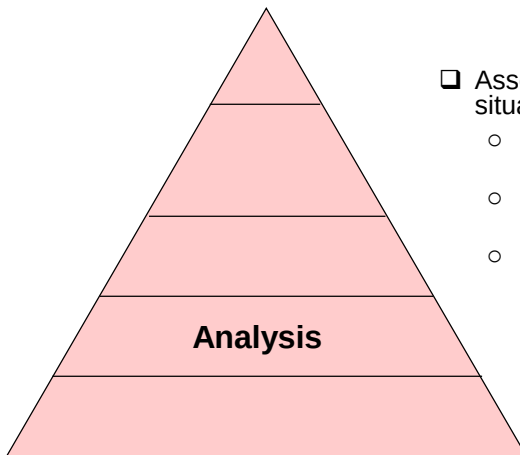
Primary Sources

- ☐ Industry observers
- ☐ Industry participants
- ☐ Your sales force
- ☐ Trade shows
- ☐ Competitors in common
- ☐ Former employees

Primary Sources (human sources)

- ☐ Industry observers
 - Journalists
 - Industry analysts
 - Stock analysts
- ☐ Industry participants
 - Suppliers
 - Customers
 - Consultants
- ☐ Your sales force
 - Provide incentives to them appropriately
- ☐ Trade shows
 - Go with a plan
- ☐ Competitors in common
 - Within or outside of your industry
- ☐ Former employees
 - Respect their non-disclosure agreements

The Competitive Intelligence Process

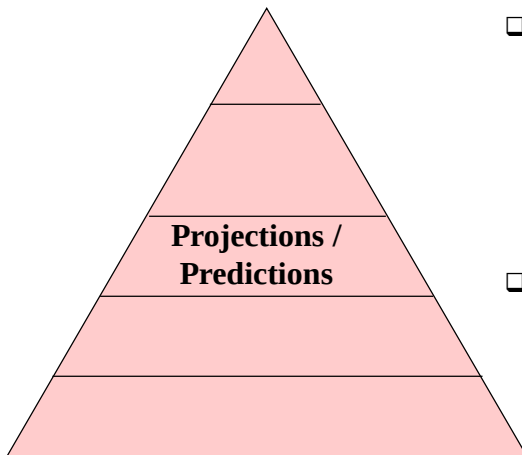


- ☐ Assess the current competitive situation
 - Compare competitor strengths and weaknesses
 - Identify potential opportunities and threats
 - Leads to an understanding of the future competitive situation

Analysis: Assessment Tools

- ❑ Company profile
 - Brings all of the pieces of information together
 - Supports development of comprehensive SWOT analysis
- ❑ Leadership profile
 - Analyze the background, capabilities and personality of competitor's leader/most influential decision-maker
- ❑ Head-to-head product comparisons
- ❑ Role playing
 - Creates stronger understanding of competitor's perspective
- ❑ Scenario analysis
 - If A happens, then B or C could happen. If D or E happens, then F could happen...
- ❑ Benchmarking
 - Measure the specific characteristics of several competitors against each other

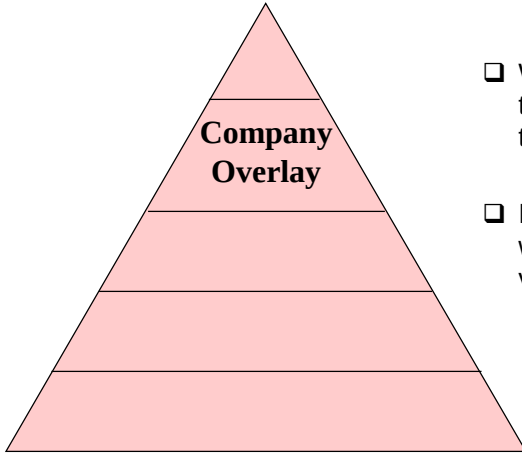
The Competitive Intelligence Process



- ❑ Forecast the future competitive situation.
 - What are the competitors likely to do the *same* or *differently* in the future?
 - What is likely to cause any changes?
- ❑ Challenge the underlying assumptions.

The Competitive Intelligence Process

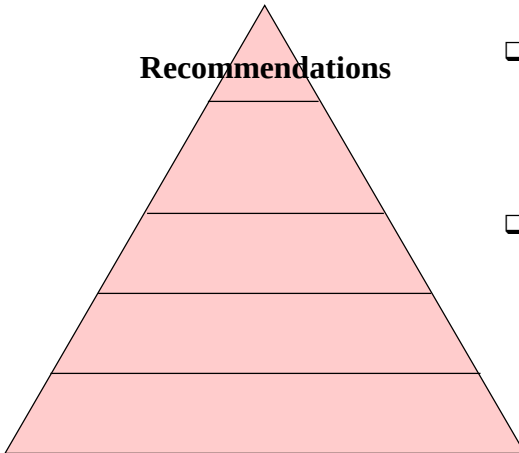
Company Overlay



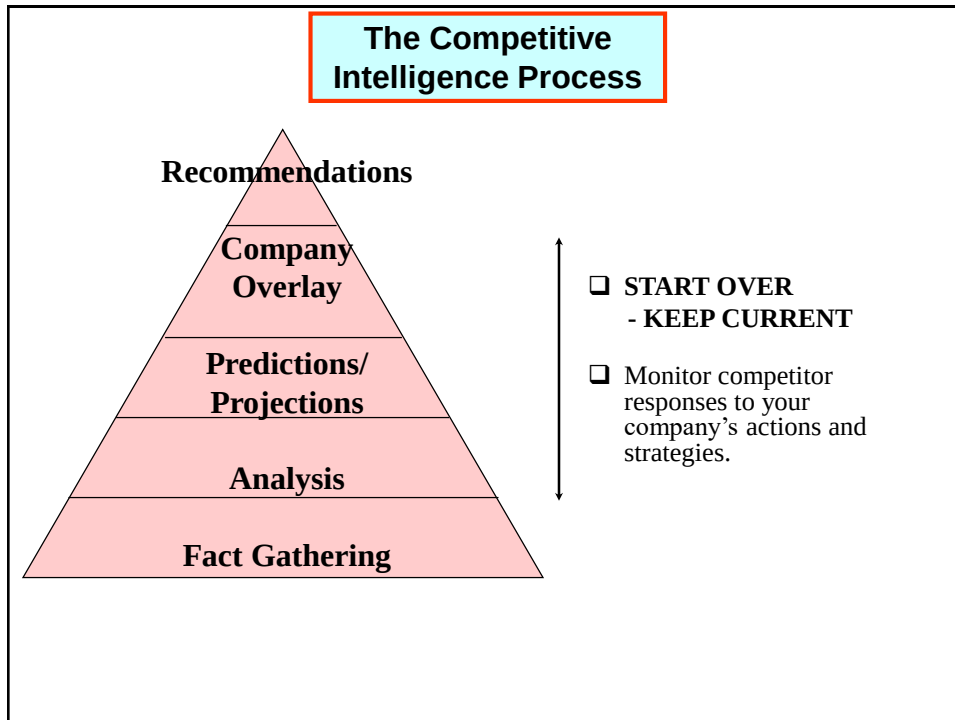
- ☐ What is your company doing that is the *same* or *different* than the competitor(s)?
- ☐ Identify your company's weaknesses and vulnerabilities.

The Competitive Intelligence Process

Recommendations



- ☐ What should your company be doing now and in the future in order to *outthink* and *outperform* the competition?
- ☐ Assess your company's strategies for effectiveness and viability.



Intelligence on uncertain future

Complex Future: Anticipate Market shifts, Competitor Moves, Customer Needs & Decisions, to react well & reduce risks.

Early Warning: Triggers, Events, Predictions (smoke-fire)

Scenarios: CI used to Forecast & develop Multiple Scenarios eg. Steel Industry (Price uncertainty vs High Cost of Furnace)

Contingency Planning: If, Then, Else. Dynamic Strategy with opportunistic planning; change course as required.

Simulations: Software to simulate real-world (Flight Simulator approach, to simplify learning complex industries)

Shadow Teams: Track every Competitor move assuming its Avatar!

War Games: Combine all of the above to role-play to re-strategise and execute competitive plans within a week or 2 weeks. May be Project/Plan specific (eg. Introduction of new product). Helps fast track strategic thinking and avoid *Blind-Spots!*

Business War Gaming

War Gaming is a role-playing simulation of a competitive marketplace used as a way to explore and test competitive strategies for the firm in order to discover any weaknesses in its plans and make changes.

During the game, teams role-playing the competitors "battle" it out by creating deeper understanding of competitors' perspective on the market and developing predictions of their most likely moves using frameworks. Then they pressure-test various practical options against competitors' expected reactions to develop better tactics!

- 1) What will competitors do?
- 2) How can I plan to outsmart them?

Business War Gaming: Benefits

- ☐ War gaming helps turn information into actionable intelligence.
- ☐ It helps break management decisions guided by conservative thinking & blind-spots
- ☐ Helps firm to avoid the trap of 'stuck-in-old ways'
- ☐ It allows experimentation with new strategic directions without real world costs
- ☐ Forces participants to change their perspective on strategic decision-making
- ☐ Uses real-world data (not software simulation) to carry onto real business

War-Gaming: Steps

What are competitor's goals and aspirations?

1. Four Corners Analysis



Where will competitors play?

2. Market Segmentation



How will competitors win in chosen markets?

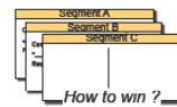
3. Product Positioning



4. Value Arguments By Stakeholder



5. Tactical Plan

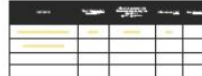


Action – What capabilities or initiatives do we need to put in place to win?

6. Impact on us

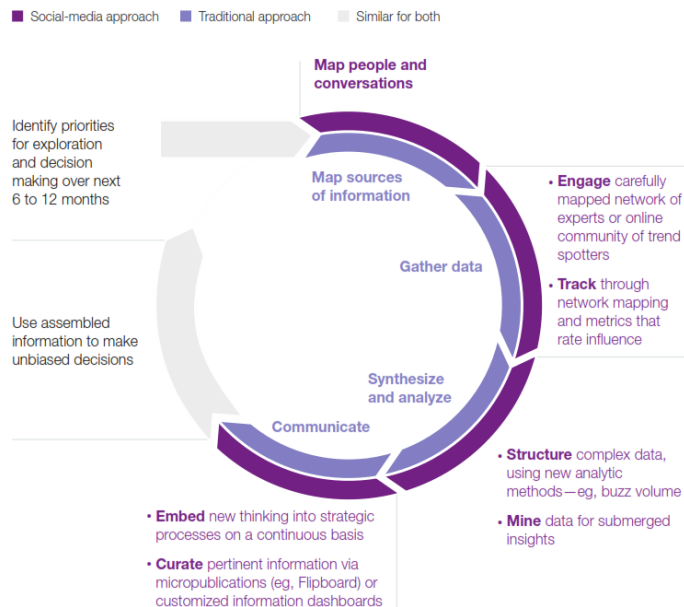


7. Our Action Plan



Social Intelligence

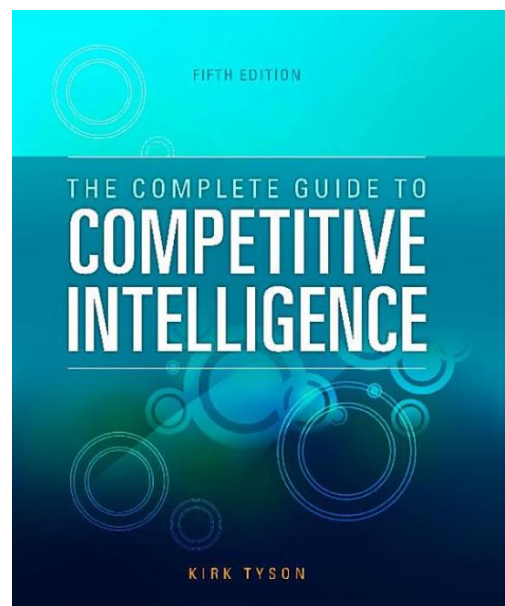
McKinsey Quarterly, Nov. 2012



Social Intelligence

McKinsey Quarterly, Nov. 2012

Objective	Traditional tool kit	Social-intelligence tool kit
Industry dynamics	- Porter's five forces (analysis of forces at work) - Structure, conduct, performance (SCP) - Value chain analysis - Analysis of consolidation/fragmentation	- Network intelligence: analyzing real-time reactions across industry players, responses to changes - Examples: Alterian, TweetReach
Competitive landscape	- War game and game theory analysis - Benchmarking - Cost structure comparison - Psychological profiling	- Real-time competitive intelligence: tracking revenue growth and product usage, marketing success, brand mentions - Examples: BoardReader, Radian6, Socialbakers
Future trends	- Trend interaction analysis - Granular opportunities - Scenario planning - Competitive trend exposure (benchmarking exposure to trends vis-à-vis peers)	- Crowd intelligence: tapping into followers and fans for new insights and innovations - Weak-signal analysis: identifying emerging trends early - Examples: Facebook, LinkedIn, Glassdoor.com
Opportunity/market sizing	- Market sizing by triangulation - Estimation of achievable customer base in a previously undefined market - Penetration of addressable market	- Live testing: getting direct feedback from users on new products/ideas - Data mining: using text-analytics to estimate market size - Examples: Attensity, Autonomy
Customer insights	- Focus groups and customer interviews/surveys - Observing consumer behavior in field, "shadowing" - Customer segmentation	- Sentiment analysis: estimating buzz around product or service - Influencer intelligence: identifying key influencers and targeting for marketing/insights - Examples: NM Incite, Social Mention, SocMetrics, Traackr, Tweepi



Kirk Tyson

Thank You